

9.2 Globalisation

Globalisation describes the process by which countries are growing more connected, economically, politically, and culturally. These connections drive change in trade and technology. Think of the journey a product has made before you buy it. It probably travelled across many countries. For example, cotton can be grown in China and then processed into a fabric in Bangladesh. A Danish shipping company can then transport the material to a clothing designer in France. The high-end product can then be distributed across the world and sold as a French luxury brand in a store with a wide variety of items. This is an example of globalisation at work.

The impact of globalisation

The key features of globalisation include increased and easier international trade of goods and services, companies operating in more than one country, a connected world economy, and less cultural diversity. It is often said that globalisation has made the world smaller as a result of these features. Globalisation has a wide variety of effects:

Trade

Globalisation has created opportunities for new markets, allowing trade and investment to develop. During the 1800s, technological advancements reduced transport costs, driving growth in international trade. The end of the Second World War in 1945 led to another spike in global trade. The growth of a globally linked economic system led to the creation of the International Monetary Fund (IMF) and the World Bank. These global financial institutions were established to help restore and sustain the benefits of a connected world economy, including promoting economic growth and co-operation as international borders reopened after the war. Today, more than half of all the value of total global economic output is from imports and exports across international borders.

Transport

The 19th and 20th centuries saw several technological innovations, like railways, steam ships, and jet aircrafts. This made global travel faster and more affordable, allowing more people to experience other countries and cultures. This ‘shrinking world’ also helped drive trade by connecting markets on an unprecedented scale.

Today, the increasing volume of goods moving around the world relies on complex logistical infrastructure. Modern trade requires an intricate **global supply chain**, within and between countries. A country’s internal infrastructure of roads and trains also needs to connect to the world’s network of airports and shipyards. As economies grow, and more goods are made and sold, the demand on these systems increases.

Growing transportation networks need more energy which results in increased carbon emissions. Supply chains generate nearly 60% of all global emissions, through haulage and shipping activities. Increasingly, companies need to invest in responsible supply chains and sustainable transport strategies to meet legislative requirements and the needs of environmentally conscious consumers.

Culture

Today’s world has international institutions with hundreds of member nations, like the Olympic Games. Chinese cuisine is available on every inhabited continent, and more people speak English as a second language than as a home language. Globalisation increases the exchange of culture, including art, sports, and languages.

Businesses can trade across many regions, taking consumer and employee cultures into account. As people from different cultures interact, they share new ideas and knowledge. This can lead to new ways of thinking about economics or politics and greater global understanding and co-operation.

On the other hand, some see globalisation as a threat to local and regional cultures. Western practices, films, clothes, food, and preferences can dominate other traditions. This threatens the world’s cultural diversity.

Communications

The late 20th century and the 21st century has seen a revolution in international communication, driven by the rapid spread of mobile phones and the invention of the internet. As of 2024, more than 60% of the world’s population has internet access. Businesses can stretch across continents, with employees in offices across the world able to communicate instantly.

In the tertiary and quaternary sectors, access to quick communications has led to businesses having employees in several different countries. This allows businesses to take advantage of a larger pool of skilled workers and more affordable labour markets. Businesses can benefit from the different ways of thinking stemming from this diversity amongst their suppliers, employees, and consumers.

The rise of rapid communication has also meant people can quickly access news from the other side of the world. This has benefits in times of disaster, with countries able to quickly support each other, and has helped to raise awareness of global issues such as climate change and the impacts these issues have on different areas of the world.

Technology

Technological innovations, such as steam ships and the internet, have driven globalisation, which in turn drives further technological innovation. A growing reliance on global connectedness means communication has become necessary for much economic activity. Infrastructure that enables this access, through means such as satellites and fibre-optic cables, are now integral parts of the global economy.

These technological leaps can drive growth and improve quality of life across the world. For example, governments, private companies, and multilateral organisations around the world collaborated to produce effective vaccines for COVID-19. Furthermore, the growing number of satellites in low-Earth orbit enables essential services such as GPS and weather monitoring.

Rapid technological development has environmental consequences, though. For example, 95% of internet data traffic is transported through undersea cables, which can have significant impacts on marine ecosystems. The building and launching of satellites have a significant carbon footprint and satellites in low-Earth orbit create light pollution, affecting wildlife and obscuring our view of the night sky.

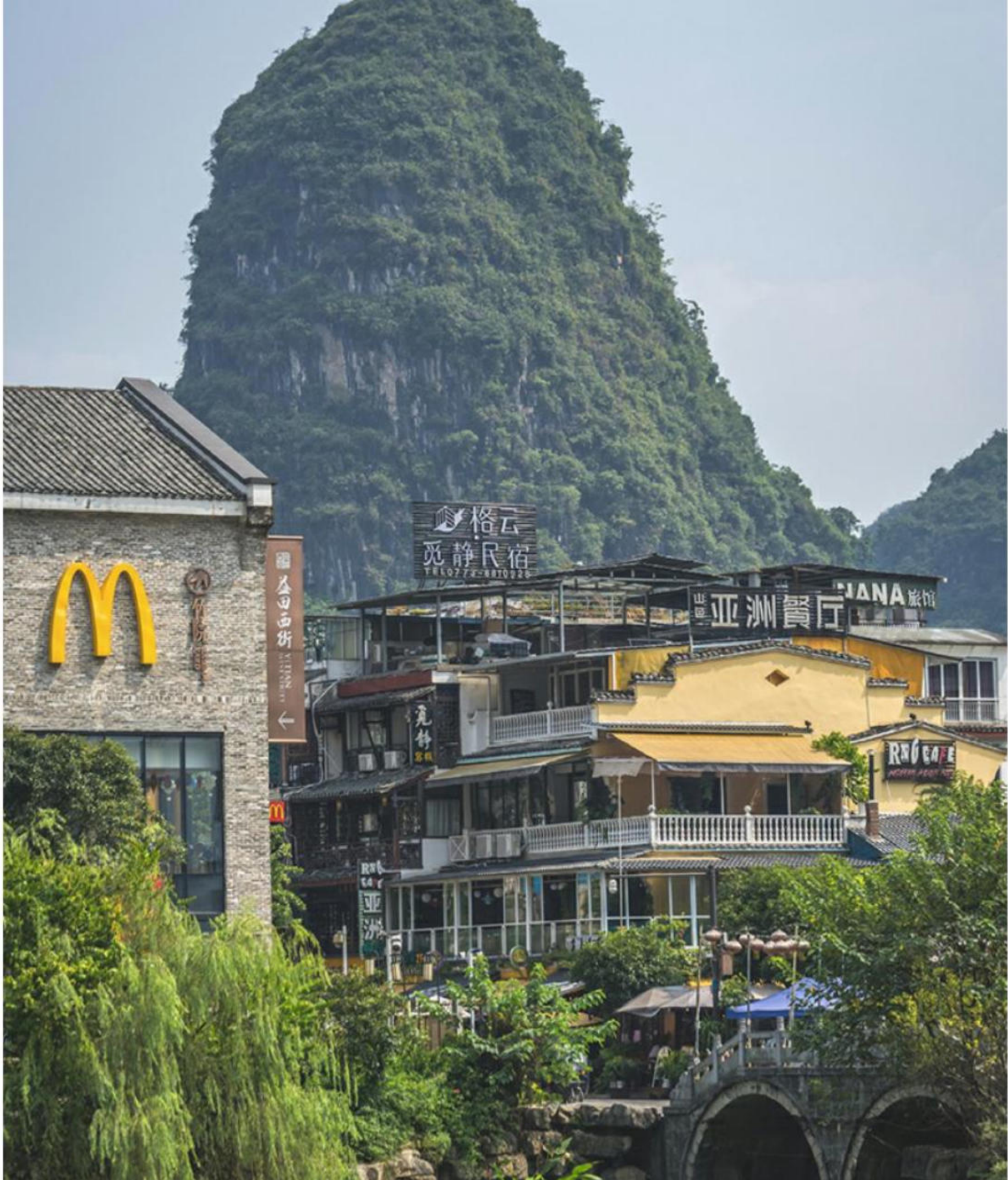
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TASK 1

As globalisation increases, companies expand into new regions and need to be aware of different cultural values across regions.

In pairs, pick two countries or regions.

- a** Discuss the possible differences in consumer culture.
- b** Suggest how these differences would affect the relationship between a business from one country and its consumers and employees from the other country.



Source **A**: McDonald's restaurant in Yangshuo Old Town tourist centre, Guangxi Province, China

TASK 2: Study Source **A**

As the world's largest restaurant chain, serving almost 70 million customers every day in over 100 countries, McDonald's has impacted economies and cultures throughout the world.

Referring to Source A:

- a** Explain how McDonald's is an example of globalisation.
- b** Discuss the social, economic, and environmental benefits and challenges that globalisation brings to:
 - i** McDonald's
 - ii** the areas around the world in which McDonald's operates.

The role of transnational corporations in globalisation

Transnational corporations (TNCs) are large companies involved with the international production and movement of goods in more than one country. TNCs often have their centres of operation in an HIC or MIC. They are most likely to originate in these markets, and retaining a presence in an HIC or MIC gives

these companies access to highly skilled labour and funding avenues like investment or major stock exchanges. In contrast, their factories, call centres, and service hubs are usually based in LICs.

The decentralised operations and global reach of a TNC mean that they can produce and supply goods efficiently and cost effectively. This means TNCs can provide consumers around the world with a choice of competitive products. Think about the most useful items in your life, like your phone, your shoes, or your prescription medication. Chances are, they were made and sold by a TNC.

TNCs have social, economic, and environmental impacts on the countries in which they operate.

Economic impacts

TNCs can be hub of economic growth for LICs. They drive foreign investment into these markets, increasing employment opportunities for the population and tax revenue for local governments. By building new factories, TNCs drive economic growth directly and indirectly for LICs. TNC investment can create jobs for locals and benefit other businesses that provide the products and services necessary for the TNC's operations.

On the other hand, the relationship between a TNC and the LIC in which it operates can sometimes be exploitative. TNCs usually have financial and technological advantages over local businesses in the region. For example, investment incentives often favour the incoming TNC through tax incentives and free trade zones. As the TNC grows, this can lead to reduced sales for local and regional competitors and ultimately, their closure. Furthermore, the profit from TNCs may largely end up back in the HIC in which it is headquartered, rather than the LIC.

HICs can also suffer economically as TNCs move their manufacturing operations to LICs. As factories close in HICs, people lose their jobs and may find it hard to find alternative employment as the secondary sector shrinks.

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Social impacts

When TNCs relocate their factories, call centres, and service hubs to LICs, the local population can benefit socially. Economic growth and employment opportunities directly improve social conditions by giving people the means to buy what they need. Increased revenues for the host country, from taxes paid by businesses on the profits they make, can also support social welfare and environmental protection through state-sponsored programmes.

TNCs can also have **Corporate Social Responsibility (CSR)** policies that work to improve society, such as funding to support local charities or promoting fair treatment of staff customers and employees. For example, in 2020, Nike introduced unconscious bias training to promote a greater understanding of racial equality. The H&M Group has CSR policies which include activities intended to address gender inequalities, aiming to improve work opportunities for women and girls in the countries in which they operate.

Whilst TNCs create new job opportunities for the local population, they can also impose unfair labour practices, which in extreme cases can amount to violations of human and labour rights. For example, the H&M Group employs around 100 000 people globally. Most of these jobs are outside of its headquarters in Sweden and drive economic growth in many LICs. However, the factories that supply these brands have been accused of exploitation in countries such as Bangladesh and India. Workers face low pay and unsafe working conditions, especially when compared with what would be offered in the countries where these businesses are headquartered.

Environmental impacts

All production has environmental consequences: the mining of raw materials can lead to habitat destruction and deforestation; manufacturing is energy intensive and has a significant carbon footprint; and after products are sold and used, non-biodegradable materials can end up in landfill. Industrial factories are a significant source of greenhouse gases, mainly in the form of carbon dioxide, methane, nitrous oxide and water vapour. This drives global warming and results in localised air pollution, affecting people in LICs. As TNC factories are so large, the environmental effects of their economic activities are equally significant.

As TNCs expand, industrial waste (the material that is left over at the end of the manufacturing process) also increases. Waste management systems are essential to prevent local environmental issues. These systems should prevent air pollution, water pollution, and soil contamination. Sometimes it is not only the disposal of the industrial waste, but the lack of proper systems to manage potential disasters that then lead to environmental issues. TNCs do not always have these systems properly in place and in fact, some see less stringent environmental laws in LICs as an advantage for their operations.

On the other hand, the same global reach that makes TNCs so competitive can make their environmental CSR programmes more efficient than comparable LIC government policy. In 2013, for example, the H&M group introduced one of the world's largest textile recycling programs, which has received more than 155 000 tonnes of textiles. Typically, global households are not able to sustainably dispose of old clothing using municipal infrastructure. Consumers in countries with participating stores, though, can dispose of their old items more sustainably because of their access to a TNC.

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TASK 3

Split the class in two for a debate. One side should argue that TNCs are good for LICs. The other side should argue that TNCs are bad for LICs.

Remember that you can use some points both for and against. For example:

- increase revenue into the region

- technology development in the region
- increased tax revenue for government
- offers new employment opportunities.

TASK 4

- Define and explain the term Corporate Social Responsibility.
- Using an example of a TNC that you have studied, briefly describe their CSR strategy and evaluate what the impact of this is on society.

THINK LIKE A GEOGRAPHER

Imagine you are an environmental regulator in an LIC which is trying to increase economic development. Suggest sustainability guidance policies intended to regulate TNC economic activity in your regions.

Now imagine you are a government official responsible for encouraging employment growth in your LIC. What suggestions for tax incentives or economic grants could you make?

How do these policies conflict? Is it possible to suggest guidance that encourages sustainable economic development? Why? Why not?